Insolvency



Insolvency occurs when a person or business owes more than they can reasonably pay. Insolvency can be resolved by a number of different tactics, including debt restructuring, consolidation, or bankruptcy.

Insolvency is a state of financial distress in which a business or person is unable to pay their bills.[1]

Insolvency can lead to insolvency proceedings, in which legal action will be taken against the insolvent person or entity, and assets may be liquidated to pay off outstanding debts. Business owners may contact creditors directly and restructure debts into more manageable installments. Creditors are typically amenable to this approach because they want to be repaid and avoid losses, even if the repayment is on a delayed schedule.

If a business owner plans on restructuring the company's debt, they assemble a realistic plan showing how they can reduce company overhead and continue carrying out business operations. The owner creates a proposal detailing how the debt may be restructured using cost reductions or other plans for support. The proposal shows creditors how the business may produce enough cash flow for profitable operations while paying its debts.

Typically, a forgiven debt may be considered income by the Internal Revenue Service (IRS). However, if a taxpayer is deemed insolvent, any forgiven debts are excluded from their income, eliminating the need to pay taxes on those amounts.[2]

Insolvency V/S Bankruptcy

Insolvency

- **Definition**: Insolvency is a financial state where an individual or organization cannot meet its debt obligations as they become due. This may happen when liabilities exceed assets or when cash flow is insufficient to cover debts.

- **Scope**: It's a financial condition, not a legal status.
- **Outcome**: Insolvency doesn't necessarily lead to bankruptcy. It can sometimes be resolved through restructuring debts, negotiating with creditors, or improving cash flow.

Bankruptcy

- **Definition**: Bankruptcy is a legal process that is initiated when an insolvent individual or company seeks formal relief from debts. This process involves a court.
- **Scope**: It's a legal status granted by a court, often resulting in asset liquidation or reorganization to pay off creditors.
- **Outcome**: Bankruptcy provides a legal path for debt resolution. It may involve liquidation (Chapter 7 in the U.S.) or restructuring (Chapter 11 or Chapter 13 in the U.S.) to handle debts under court supervision.

In short, **insolvency is a financial state**, while **bankruptcy is a legal process** that may be pursued if insolvency cannot be resolved by other means.